market prices without adjusting for inflation, grew 10.3 per cent, compared with nearly 8 per cent a year earlier.

But some experts—former Union finance secretary Subhash Chandra Garg foremost among them—have questioned the GDP data, arguing that a downward revision of the previous year's figures had artificially inflated the latest growth rate. According to Garg, without the revision, the "real growth" would have been only 2.6 per cent, rather than the reported 7.8 per cent (see *Questions Over the High GDP Numbers*). The Centre, however, maintains that it has followed an updated globally accepted methodology for calculating GDP and rejects the allegation that the changes have artificially inflated growth.

PILLARS OF GROWTH

Crisil, a global analytics company, identifies three principal engines behind the economy's resilience. The first was domestic consumption. "Household spending was supported by the rationalisation of the Goods and Services Tax (GST) regime and income tax relief announced last fiscal," says Dharmakirti Joshi, Crisil's chief economist. The automobile market offered a striking illustration. Passenger vehicle sales surged 25.6 per cent y-o-y, while two-wheeler sales rose 20.6 per cent, "reflecting a broad-based demand across income segments". "State-level cash transfer programmes, complementing existing food security schemes, also helped cushion household finances and sustain spending momentum," he adds.

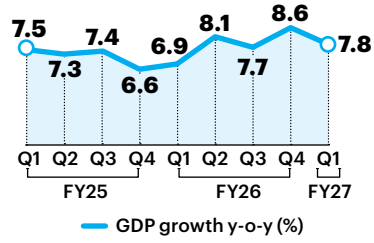
The second engine was public investment. Capital expenditure by the Centre increased 23.7 per cent y-o-y in Q1FY27, reinforcing the government's role in supporting growth. The states added to the momentum, with combined capex across 17 major states rising 6.8 per cent from a year earlier. "The government's continued thrust on capex-led growth has translated into sustained double-digit investment growth for two consecutive quarters," notes Rajani Sinha, chief economist at CareEdge Ratings. Investment also strengthened more broadly. Gross fixed capital formation (GFCF), which captures both government and private investment, grew nearly 12 per cent, its highest rate in 13 quarters. It stood at 6.7 per cent a year earlier and 10.5 per cent in the previous quarter (Q4FY26).

Exports provided the third leg of support, holding up well even in the face of a challenging global backdrop. "Overall exports expanded 12 per cent in real terms," says Joshi, "demonstrating the agility of Indian exports amid uneven external demand."

Services remained the strongest broad sector, growing 10 per cent. Financial, real estate, IT and professional services expanded 12.1 per cent, as compared to 8.8 per cent in Q1FY26. Industry grew 8.6 per cent, led by manufacturing and electricity. Manufacturing itself accelerated to 9.2 per cent from 8.3 per cent. Gross value added (GVA), considered a better gauge of the economy's underlying performance because it captures the value created by producers after the cost of intermediate inputs and raw materials is deducted, grew 8.2 per cent.

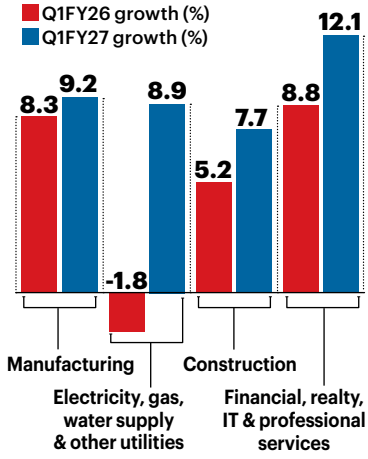
STAYING STRONG

GDP grew 7.8 per cent in Q1FY27, exceeding the RBI's 7 per cent projection



GROWTH ENGINES

Sectors that grew faster than a year ago



Source: MoSPI & NSO

THE DEMAND DIVIDEND

Nilesh Shah, MD of Kotak Mahindra Asset Management Company, sees an opportunity to build on that momentum. "In 2010, we were the tenth largest economy; today we are the fifth largest," he says. "That's a slope worth accelerating and staying on. We should focus on overtaking Japan and Germany over the next couple of years." (India slipped to the sixth place in FY26, according to the IMF's April 2026 World Economic Outlook.)

Corporate performance has also remained robust, with Indian companies recording double-digit earnings growth in the past two quarters. Shah notes that this has come despite oil price uncertainty, supply-chain disruptions, a depreciating rupee and monsoon-related shortages.

Industrial data, too, point to firm demand. Consumer durables growth accelerated to 8 per cent from 2 per cent in the previous quarter and exceeded the past fiscal's average of 3.2 per cent. Motor vehicle output rose 15.3 per cent, while other transport equipment expanded 19.7 per cent. Both benefited from sustained discretionary demand and GST rationalisation.

HEADWINDS AHEAD

Yet some of the economy's softer spots are already visible. Agriculture and allied GVA eased to 3.6 per cent from 3.9 per cent, partly because kharif sowing was delayed. The southwest monsoon had been weak in June, with rainfall at just 60 per cent of the long-period average by the end of the month,